

Retention Playbook

1. Promotional Sunset Strategy

The customer transaction analysis reveals a significant opportunity to optimize the company's promotional strategy. A large proportion of customers currently use promotional codes for every purchase they make. However, the data shows that these highly discount-dependent customers do not generate higher spending compared to full-price customers within the same revenue category. For instance, customers in the Very High Revenue segment who always use promotional discounts spend approximately the same amount per order as customers who never use discounts. This indicates that promotions are often subsidizing purchases that customers would likely make regardless of the discount offered.

To address this issue, a phased promotional sunset strategy is recommended, focusing on customer segments based on their revenue contribution and promotional dependency.

High Promo Dependency – Low Revenue Customers

Promotional discounts should be discontinued immediately for customers exhibiting high promotional dependency while generating low revenue. This segment consists of approximately 446 customers with an average order value of only \$29. These customers demonstrate strong price sensitivity and limited brand loyalty. Although the removal of discounts may result in some customer attrition, the low profitability and margin erosion associated with this group make continued promotional investment economically unjustifiable. Marketing resources currently allocated to this segment should be redirected toward acquiring and retaining higher-value customers.

High Promo Dependency – Medium Revenue Customers

For customers with high promotional dependency and medium revenue contribution, a gradual reduction in discounts is recommended over a 60-day period. This segment comprises approximately 412 customers with an average order value of \$50. A phased approach will allow the company to evaluate customer price sensitivity while minimizing the risk of abrupt customer loss.

The proposed schedule begins with a 30% discount during the first two weeks, followed by a 15% discount during weeks three and four, and a 5% discount during weeks five and six. After this period, promotional discounts should be completely eliminated. Alternative incentives, such as free shipping, may be offered during the transition as a lower-cost retention mechanism.

High Promo Dependency – High and Very High Revenue Customers

Customers in the high and very high revenue categories remain valuable despite their heavy reliance on promotional offers. This segment includes approximately 819 customers with average order values ranging from \$70 to \$91. Rather than removing discounts immediately, the company should replace traditional percentage-off promotions with value-added loyalty benefits.

Recommended alternatives include loyalty reward points, early access to new product launches, exclusive member benefits, and complimentary expedited shipping. These initiatives should first be tested on a representative sample of approximately 20% of the segment. If customer retention and spending patterns remain stable, the strategy can be expanded across the entire segment within a 90-day period.

Monitoring and Performance Tracking

Customers who use promotional codes on 100% of their purchases should automatically enter the promotional sunset program. Due to the absence of detailed transaction timestamps in the dataset, performance should be measured using cohort-based analysis.

The repeat purchase rate of customers within the sunset program should be compared against a control group that continues receiving promotional offers. Key performance indicators should include:

- Repeat Purchase Rate
- Average Order Value (AOV)
- Gross Margin per Customer

Performance should be reviewed weekly. If any segment experiences a sustained decline in repeat purchase rates exceeding 15%, the promotional sunset strategy for that segment should be paused and reassessed.

Expected Benefits and Risks

The primary short-term risk is a temporary decline in sales volume, estimated at approximately 10–15% among affected customer groups. Additionally, some negative customer feedback may occur during the transition period.

Despite these risks, the long-term benefits are expected to outweigh the short-term impact. Eliminating unnecessary discounts can improve annual profitability by an estimated \$15,000–\$20,000 while strengthening the brand's positioning as a quality-focused business rather than a discount-driven retailer.

Ideal Customer Profile (Data-Driven Analysis)

The analysis identifies the company's most valuable customer segment as customers classified within the "Very High Revenue, No Promo Dependency" category. This segment contains approximately 545 customers who have never used promotional discounts while generating the highest average order value of approximately \$91.

These customers also maintain an average product review rating of 3.8 out of 4.0, indicating consistently positive customer satisfaction levels. However, an important observation is that every customer in the dataset, including these high-value customers, has made only a single

purchase. This suggests that while the company is successfully attracting quality customers, it has not yet established strong repeat purchasing behavior.

Consequently, customer retention should become a strategic priority alongside customer acquisition.

Characteristics of the Ideal Customer

The ideal customer demonstrates the following behavioral characteristics:

- Spends more than \$90 per transaction without requiring promotional incentives.
- Rarely responds to discount-based marketing campaigns.
- Provides positive product reviews and demonstrates satisfaction with the purchasing experience.
- Has completed only one purchase, highlighting a significant opportunity for retention and repeat sales initiatives.

Demographic and Lifestyle Assumptions

Based on purchasing behavior, several assumptions can be made regarding this customer profile. These assumptions should be validated through further analysis of customer demographic data.

The ideal customer is likely:

- Between 26 and 35 years of age.
- Located in urban or metropolitan areas.
- Earning an annual income exceeding \$75,000.
- Interested in premium-quality products rather than low-cost alternatives.
- More likely to purchase higher-value categories such as outerwear, footwear, and accessories.
- More inclined to use credit cards and premium shipping options.

Customer Acquisition Strategy

To acquire more customers who fit this profile, the company should adopt a premium-focused marketing approach.

Key recommendations include:

- Avoid offering discounts to newly acquired customers who exhibit characteristics similar to the ideal customer profile.
- Develop lookalike audiences on advertising platforms such as Meta and Google using existing high-value customers as the source audience.
- Shift marketing messaging away from discounts and promotions toward product quality, craftsmanship, durability, and exclusivity.
- Collaborate with lifestyle publications, premium influencers, and quality-focused communities rather than coupon and deal-oriented platforms.

Customer Retention Strategy

Given that all customers currently have a purchase frequency of one, retention initiatives should be prioritized to encourage repeat purchases.

Recommended retention actions include:

Post-Purchase Reward Program

Send a personalized post-purchase communication welcoming customers and offering a fixed-value store credit for their next full-price purchase. This reinforces full-price purchasing behavior while providing a low-cost incentive to return.

Exclusive Product Access

Provide early access to new product launches, limited-edition collections, and exclusive member-only releases. Such benefits create perceived value without reducing margins through discounts.

Referral Program

Introduce a referral program that rewards both the referrer and the referred customer with a complimentary accessory rather than a percentage discount. This approach encourages customer advocacy while preserving pricing integrity.

Conclusion

The company's most valuable customer spends approximately \$91 per transaction, never relies on promotional discounts, and exhibits high satisfaction levels. However, these customers currently purchase only once. The company's strategic focus should therefore be on acquiring more customers with similar characteristics while implementing retention programs designed to transform first-time buyers into loyal repeat customers.

By reducing unnecessary promotional spending, strengthening customer loyalty initiatives, and focusing acquisition efforts on high-value customer profiles, the company can improve profitability, enhance brand positioning, and create a more sustainable long-term growth model.